



INDIAN POLITY

- **FINANCE COMMISSION**
- **NHRC AND SHRC**

MODULE – 104



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FINANCE COMMISSION

FORMULA USED FOR DISTRIBUTION

Table 2: Weight of criteria used by 11th to 14th Finance Commissions

Criteria	11 th	12 th	13 th	14 th
Income Distance	62.5	50.0		50.0
Population 1971	10.0	25.0	25.0	17.5
Population 2011				10.0
Index of Infrastructure	7.5			
Fiscal Discipline	7.5	7.5	17.5	
Tax Effort	5.0	7.5		
Fiscal Capacity Discipline			47.5	
Area	7.5	10.0	10.0	15.0
Forest Cover				7.5
Total	100	100	100	100

Source: Reports of the 1st to 14th Finance Commissions; P.R.S.

- 1 The share in central taxes is distributed among states based on a formula.
- 2 Previous Finance Commissions have considered various factors to determine the criteria such as the population and income needs of states, their area and infrastructure, etc.
- 3 Further, the weightage assigned to each criterion has varied with each Finance Commission.

FINANCE COMMISSION

FORMULA USED FOR DISTRIBUTION

1 POPULATION:

- Population is an indicator of the expenditure needs of a state.
- Over the years, Finance Commissions have used population data of the 1971 Census.
- The 14th FC used the 2011 population data, in addition to the 1971 data.
- The 15th FC has been mandated to use data from the 2011 Census.

2 AREA:

Area is used as a criterion as a state with larger area has to incur additional administrative costs to deliver services.

3 FOREST COVER:

Forest cover indicates that states with large forest covers bear the cost of not having area available for other economic activities. Therefore, the rationale is that these states may be given a higher share.

4 INCOME DISTANCE:

- Income distance is the difference between the per capita income of a state with the average per capita income of all states.
- States with lower per capita income may be given a higher share to maintain equity among states.

WHAT ARE THE TERMS OF THE COMMISSION?

USAGE OF CENSUS-2011

- 1** 14th FC had used Census 1971 formula for horizontal distribution of taxes among states.
- 2** Census-1971 population was given around 17% weightage i.e. more populous state will get more funds.
- 3** The population of 1971 would have been a 45-50 years old data which may not represent the present situation.
- 4** The 1971 population does not take into consideration the issue of migration which is observed at a very large scale in Census 2011.
- 5** It is also felt that the concept of demographic dividend will only lead to results if the population is given access to right education, nutrition, skilling etc and the larger states in terms of population will require this kind of assistance



WHAT ARE THE TERMS OF THE COMMISSION?

USAGE OF CENSUS-2011

- 6 15th FC was made to use the Census 2011 data.
- 7 Southern states have reduced their fertility rate between 1971 to 2011 whereas Northern states could not achieve it due to poverty, illiteracy and healthcare infrastructure.



- 8 So, Southern states fear Northern states will get proportionately more funds, if Census 2011 is used.
- 9 The per capita income of southern states is much higher than that of northern states (the lowest PCI in a southern state is of Rs.95566 which is more than the PCI of Rajasthan Rs.72072-highest amongst the northern states)

WHAT ARE THE TERMS OF THE COMMISSION?

REVISION OF VERTICAL DEVOLUTION



The impact on the fiscal situation of the central government was to be analysed keeping in mind the imperatives of the national development programme.

- 1 14th FC had recommended 42% vertical devolution.
- 2 15th FC TOR asks the commission to examine the impact of 42% devolution on Union government, including its New India-2022 Vision (Housing for all, doubling farmers' income).
- 3 States fear that Union will use it as an excuse to keep more funds to itself, and the devolution may be reduced to less than 42%.

WHAT ARE THE TERMS OF THE COMMISSION?

PERFORMANCE BASED INCENTIVES



1

Efforts made in expansion of GST tax-net

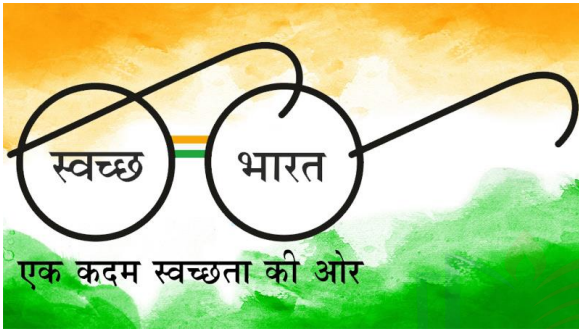
- Manipur can't do as much as Maharashtra in deepening the GST tax net, owing to the variety of economic, geographic and political factors (frequent bandh and blockades). Yet, it could be rated negatively.

2

- Efforts made in achieving replacement level of population growth i.e. Total Fertility Rate 2.1 or lower.
- Northern states' total fertility rate higher, so they're apprehensive.

WHAT ARE THE TERMS OF THE COMMISSION?

PERFORMANCE BASED INCENTIVES



3 Implementation of central schemes like Behavioral changes to end open defecation. States resent that Modi's Swachh Bharat mission is 'imposed upon them'. FC devolution is their constitutional right, and not an alm tied to their implementation of central schemes.

4 Controlling the expenditure on populist measures.

- Southern states have been running populist schemes for free TV, Fridge, Mixer, farmers' debt-waiver, etc.
- Similarly Northern states run free bicycle, free mobile & laptop schemes.

WHAT ARE THE TERMS OF THE COMMISSION?

PERFORMANCE BASED INCENTIVES



4

Controlling the expenditure on populist measures.

- Given the growing concerns over rising state deficits (especially in Bihar and Punjab), the concerns over excessive state spending are well taken.
- But there is no clear definition of “populist” programmes or on who decides what is populist and thereby the ambiguity is very open.
- Additionally, dictating the states on what and how to spend doesn’t sound good for cooperative federalism.
- They fear they’ll be reviewed negatively, and union will get to keep more money for itself.

NON-CONSTITUTIONAL BODIES

NITI AAYOG

NATIONAL HUMAN RIGHTS COMMISSION

STATE HUMAN RIGHTS COMMISSION

CENTRAL INFORMATION COMMISSION

STATE INFORMATION COMMISSION

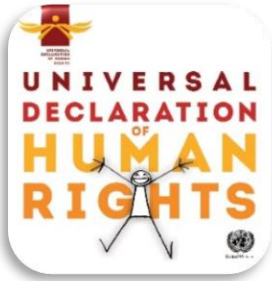
CENTRAL VIGILANCE COMMISSION

CENTRAL BUREAU OF INVESTIGATION

LOKPAL AND LOKAYUKTAS

HUMAN RIGHTS COMMISSION

A SLICE INTO HISTORY!



RANGANATH MISRA

- 1 In view of the approaching 45th anniversary of the Universal Declaration of Human Rights, the Government was in a hurry to constitute NHRC.
- 2 An ordinance was issued and subsequently a law was brought in 1993.
- 3 Former Chief Justice Ranganath Misra was appointed NHRC's first Chairman.



Famous Jurist judge V R Krishna Iyer called it “the biggest post office in India.”

HUMAN RIGHTS COMMISSION

WHY WAS THERE A NEED FOR ESTABLISHMENT OF NHRC?



- 1 To strengthen the institutional arrangements through which **human rights issues could be addressed in their entirety** in a more focussed manner.
- 2 To look into the allegations of **excesses, independently of the Govt.,** in a manner that would underline the Govt's commitment to protect human rights.
- 3 To **complement and strengthen the efforts** that have already been made in this direction.

HUMAN RIGHTS COMMISSION



CONDITIONS	NHRC	SHRC
Establishment	It is a statutory body established under the Protection of Human Rights Act, 1993.	-----Same-----
Enforcement	The commission is the watchdog of human rights in the entire country and the rights are enforceable by courts in India.	▪ A State Human Rights Commission can inquire into violation of human rights only in respect of subjects mentioned in the State List (List-II) and the Concurrent List (List-III) of the Seventh Schedule of the Constitution. ▪ However, if any such case is already being inquired into by the National Human Rights Commission or any other Statutory Commission, then the State Human Rights Commission does not inquire into that case.

HUMAN RIGHTS COMMISSION

CONDITIONS	NHRC	SHRC
Composition	▪ Comprises of chairman and four members. ▪ The chairman should be a retired chief justice of India, and members should be serving or retired judges of the Supreme Court, a serving or retired chief justice of a high court and two persons having knowledge or practical experience with respect to human rights. ▪ In addition to these full- time members, the commission also has four ex-officio members—the chairmen of the National Commission for Minorities, the National Commission for SCs, the National Commission for STs and the National Commission for Women.	▪ Comprises of chairperson and two members. ▪ The chairperson should be a retired Chief Justice of a High Court and members should be a serving or retired judge of a High Court or a District Judge in the state with a minimum of seven years experience as District Judge and a person having knowledge or practical experience with respect to human rights.

HUMAN RIGHTS COMMISSION

CONDITIONS	NHRC	SHRC
Appointed by	President	Governor
Appointment committee	Six-member committee consisting of the prime minister as its head, the Speaker of the Lok Sabha, the Deputy Chairman of the Rajya Sabha, leaders of the Opposition in both the Houses of Parliament and the Central home minister.	- Committee consisting of the chief minister as its head, the speaker of the Legislative Assembly, the state home minister and the leader of the opposition in the Legislative Assembly. - In the case of a state having Legislative Council, the chairman of the Council and the leader of the opposition in the Council would also be the members of the committee.
Term of office	Hold office for a term of five years or until they attain the age of 70 years , whichever is earlier.	-----Same-----
Re-appointment	Not eligible for further employment under the Central or a state government.	-----Same-----
Removal	By President	Although they are appointed by the governor, they can be removed only by the President

HUMAN RIGHTS COMMISSION

CONDITIONS	NHRC	SHRC
Conditions for removal	a) If he is adjudged an insolvent; or b) If he engages, during his term of office, in any paid employment outside the duties of his office; or c) If he is unfit to continue in office by reason of infirmity of mind or body; or d) If he is of unsound mind and stand so declared by a competent court; or e) If he is convicted and sentenced to imprisonment for an offence.	-----Same-----
Additional conditions for removal	▪ In addition to these, the president can also remove the chairman or any member on the ground of proved misbehaviour or incapacity. ▪ However, in these cases, the president has to refer the matter to the Supreme Court for an inquiry. If the Supreme Court, after the inquiry, upholds the cause of removal and advises so, then the president can remove the chairman or a member.	-----Same-----
Salaries determined by	Central government	State government

HUMAN RIGHTS COMMISSION

WORKING OF THE COMMISSION



- 1 It is vested with the power to regulate its own procedure.
- 2 It has all the **powers of a civil court** while inquiring into the complaints under this Act and its proceedings have a **judicial character**.
- 3 NHRC may call for information or report from the Central and state governments (or from the state governments in the case of SHRC) or any other authority subordinate thereto.

HUMAN RIGHTS COMMISSION

WORKING OF THE COMMISSION

4 The commission is not empowered to inquire into any matter after the **expiry of one year** from the date on which the act constituting violation of human rights is alleged to have been committed. In other words, it can look into a matter within one year of its occurrence.

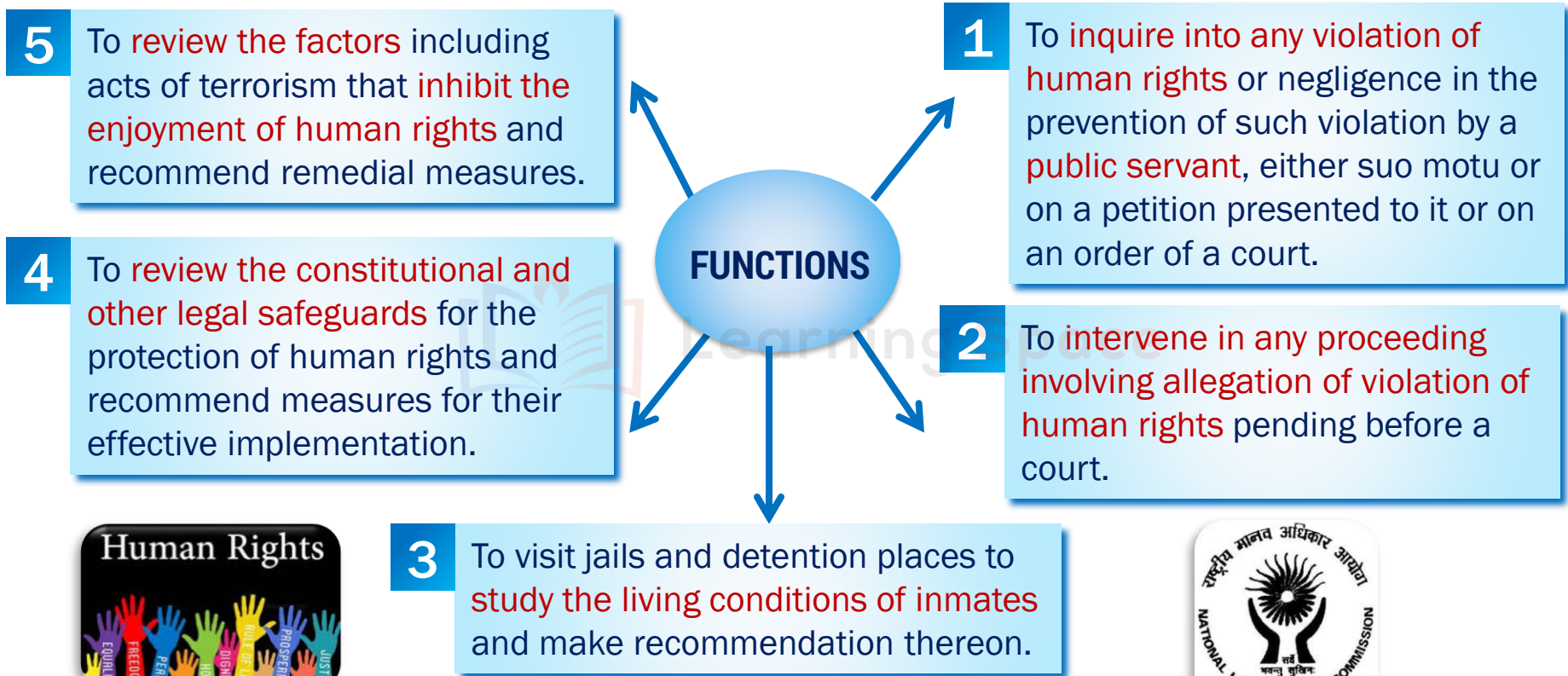


5 The commission may take any of the following steps during or upon the completion of an inquiry:

- a) It may recommend to the concerned government or authority to make **payment of compensation or damages to the victim;**
- b) It may recommend to the concerned government or authority the **initiation of proceedings for prosecution** or any other action against the guilty public servant;
- c) It may recommend to the concerned government or authority for the grant of **immediate interim relief to the victim;**
- d) It may approach the Supreme Court or the high court concerned for the necessary directions, orders or writs.

HUMAN RIGHTS COMMISSION

FUNCTIONS OF THE COMMISSION

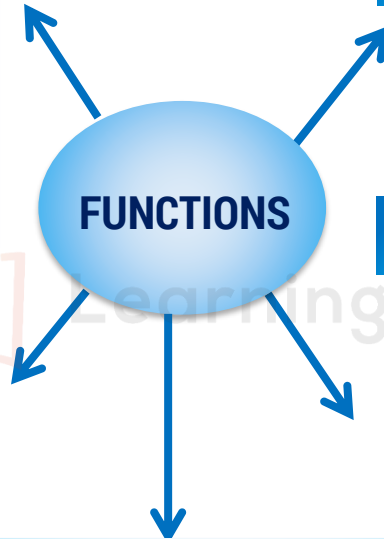


HUMAN RIGHTS COMMISSION

FUNCTIONS OF THE COMMISSION

10 To study treaties and other international instruments on human rights and make recommendations for their effective implementation (**ONLY FOR NHRC**)

9 To undertake such other functions as it may consider necessary for the promotion of human rights.



6 To encourage the efforts of NGOs working in the field of human rights.

7 To spread human rights literacy among the people and promote awareness of the safeguards available for the protection of these rights.

8 To undertake and promote research in the field of human rights.



HUMAN RIGHTS COMMISSION

IS NHRC REALLY EFFECTIVE?



- 1 From the above, it is clear that the functions of the commission are mainly **recommendatory** in nature.
- 2 It has **no power to punish the violators** of human rights, nor to award any relief including monetary relief to the victim.
- 3 Notably, its **recommendations are not binding on the concerned government or authority.**

IS NHRC REALLY EFFECTIVE?



सत्यमेव जयते

Government Of India

The commission has limited role, powers and jurisdiction with respect to the violation of human rights by the members of the armed forces

4

But, it should be informed about the action taken on its recommendations **within one month.**

5

The commission submits its annual or special reports to the Central government and to the state government concerned.

6

These reports are laid before the respective legislatures, along with a memorandum of action taken on the recommendations of the commission and the reasons for non-acceptance of any of such recommendations.

PROTECTION OF HUMAN RIGHTS (AMENDMENT) BILL, 2019

PRIOR TO AMENDMENT

- The Chairman of NHRC should be a **retired Chief Justice of India**. The chairperson of a SHRC is a person who **has been a Chief Justice of a High Court**.

1



AFTER THE AMENDMENT

- ✓ A person, who has been a **Judge of the Supreme Court** is also made eligible to be appointed as Chairperson of the Commission **in addition to the person, who has been the Chief Justice of India**. A person who has been **Chief Justice or Judge of a High Court** will be Chairperson of a SHRC.

2



- Its **two non-judge members** had to be “persons having knowledge of or experience in matters relating to human rights”.

- ✓ The **number of such members is raised to three, including a woman member**, but the positions are open to any person of the Government’s unguided choice.

PROTECTION OF HUMAN RIGHTS (AMENDMENT) BILL, 2019

PRIOR TO AMENDMENT

- It has **four ex-officio members** i.e.,
 - National Commission for Minorities.
 - National Commission for SCs.
 - National Commission for STs.
 - National Commission for Women.

- The Chairperson and members of the NHRC and SHRC will hold **office for five years or till the age of seventy years**, whichever is earlier.

3

AFTER THE AMENDMENT

- ✓ Now it includes **three more ex-officio members** i.e.,
 - Chairperson of the National Commission for Backward Classes.
 - Chairperson of the National Commission for Protection of Child Rights
 - the Chief Commissioner for Persons with Disabilities

4

- ✓ It reduces the term of office to **three years or till the age of seventy years**, whichever is earlier. Further, the Act **allows for the reappointment of members** of the NHRC and SHRCs for a period of five years.

PROTECTION OF HUMAN RIGHTS (AMENDMENT) BILL, 2019

PRIOR TO AMENDMENT

Powers of Secretary-General:

The Act provides for a Secretary-General of the NHRC and a Secretary of a SHRC, who exercise powers as may be delegated to them.

5

AFTER THE AMENDMENT

Powers of Secretary-General:

The Bill amends this and allows the Secretary-General and Secretary to exercise all administrative and financial powers (except judicial functions), subject to the respective chairperson's control.



HUMAN RIGHTS COMMISSION

FINAL WORD!

1 NHRC is to inquire into complaints of “**violation of human rights or abetment thereof, or negligence in the prevention of such violation, by a public servant**”. But it cannot execute its decisions based on its findings.

2 For that, it has to **depend either on the Central or State Government or on the judicial hierarchy** in the country from the top court down to the magistrates.

3 The Commission will now have **more adjunct than full-time members**.

4 There is **no clause** to incorporate members of the leading NGOs into NHRC / SHRC.



Overall, NHRC is yet to be assigned its rightful role in the affairs of the country and the society!

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